CHAPTER 14

The Theory of Preferred Stocks

THAT THE TYPICAL PREFERRED STOCK represents an unattractive *form* of investment contract is hardly open to question. On the one hand, its principal value and income return are both limited; on the other hand, the owner has no fixed, enforceable claim to payment of either principal or income. It may be said that preferred stocks combine the limitations of creditorship (bonds) with the hazards of partnership (common stocks). Yet despite these strong theoretical objections, the preferred stock has developed into a major factor in our financial scheme, and has evidently succeeded in commending itself to the American investor. In 1939 there were about 420 different preferred issues listed on the New York Stock Exchange as against some 830 common stocks. In 1929 the value of the listed preferred shares exceeded 8½ billion dollars and was about half as great as that of listed corporation bonds.[1]

The Verdict of the Market Place. In the subsequent market collapse, the price of these shares suffered a drastic shrinkage, an experience that was repeated on a smaller scale in 1937–1938. The following comparative figures tell an interesting story:

AVERAGE OF ALL LISTED ON THE NEW YORK STOCK EXCHANGE

Type of Security	High Price 1929	Low Price 1932	High Price 1937	Low Price 1938	Price Dec. 30, 1939
United States corporate bonds	95.33	52.68	90.89	65.82	74.60
Preferred stocks	84.99	25.38	75.15	46.50	61.55
Common stocks	89.94	10.59	43.29	20.44	30.16

[1] At the end of 1939 the value of all listed preferred shares was about $6,250,000,000, compared with about $14,250,000,000 for all listed corporation bonds (New York Stock Exchange totals).